Micron Technology, Inc.

MU NASDAQ

Buy	$989.04 ▼ 3.88%	12M Price Target	52-Week Range	Market Cap
		$1200.00	$186.25 – $1255.00	$1.12T

MU: HBM Darling Cools After Epic Run — Buy the Dip

WHAT HAPPENED

- MU is down ~5% from last week's $1,088 peak, now at $989 — but zoom out: this stock went from $186 to over $1,250 in the past year. A 4% down day after that kind of run is just profit-taking, not a thesis break. Nothing stock-specific hit the tape — no filings, no news — so this is pure "the semis got too hot" cooling.
- The sector tape tells the story: Energy, Staples, Healthcare are all green today while tech ETFs aren't on the leaderboard. Classic defensive rotation day, and high-beta names like MU get sold first when money gets nervous.

WHY IT MATTERS

Here's what I think is really going on: MU has become the poster child for the AI memory trade (HBM — high-bandwidth memory chips that sit next to Nvidia GPUs), and when it rips 500%+ in a year, every macro wobble becomes an excuse to trim. The options flow is actually telling you something interesting — massive call AND put buying at the $990-995 strike means traders are betting on a big move in either direction before this Friday's expiration, but the overall put/call ratio of 0.70 is still bullish. Politically, this stock is riding one of the strongest bipartisan tailwinds in the market: the CHIPS Act is still disbursing money, and the Trump administration's tariff posture against Chinese memory makers (CXMT especially) is effectively a government-mandated moat for Micron. The pullback is noise unless HBM pricing shows cracks — and we have zero evidence of that.

POLICY & POLITICAL WATCH

Three policy threads to watch: (1) The administration's semiconductor tariff review is ongoing — any expansion of tariffs on Chinese-made memory is a direct gift to MU's pricing power. (2) CHIPS Act Phase 2 funding and the Idaho/New York fab buildouts — MU got ~$6B in grants and loans, and any clawback risk under budget reconciliation talks is the sleeper concern. (3) Export controls to China: MU already lost the China datacenter market in 2023, so further restrictions actually hurt competitors more than MU at this point — it's net positive. The regulatory environment for US-based memory is as friendly as it's ever been.

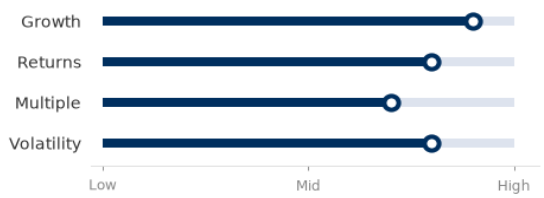
IS IT EXPENSIVE?

At $989 and roughly $14 of forward EPS, you're paying ~70x this year's earnings but only ~44x next year's — meaning if the HBM ramp hits estimates, the stock gets cheap fast. On EV/EBITDA you're around 22x, which is rich for a historically cyclical memory business but reasonable if you believe HBM has structurally changed the margin profile (and I do — HBM gross margins are 2-3x commodity DRAM). The bull case says this isn't a cyclical anymore, it's an AI infrastructure name, and those trade at 30x+ earnings all day.

Key Data

Price (USD)	**$989.04**
12M Price Target	**$1200.00**
Upside / (Downside)	**+21.3%**
Market Cap	**$1.12T**
FY2026E Revenue	**$48,500M**
FY2027E Revenue	**$62,000M**
FY2026E EPS	**$14.20**
FY2027E EPS	**$22.50**
Fwd P/E	**69.6x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

MU — Micron Technology, Inc. | October 12, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$1100.00**	$1020.00	**$920.00**
6 Months	**$1300.00**	$1150.00	**$850.00**
1 Year	**$1500.00**	$1200.00	**$800.00**
2 Years	**$1800.00**	$1400.00	**$700.00**
5 Years	**$2500.00**	$1800.00	**$600.00**
10 Years	**$4000.00**	$2500.00	**$500.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4% this week) and Staples are catching bids — this is classic late-cycle defensive rotation, possibly front-running inflation prints or geopolitical oil risk. Healthcare is firming on policy clarity.

COOLING OFF: High-beta semis and AI names are taking a breather after parabolic Q3 runs. No fundamental damage yet — just position unwind.

ROTATION WATCH: Money is rotating OUT of winners and INTO laggards and defensives today. This is tactical, not strategic — the AI capex story hasn't changed, but books are getting trimmed into year-end. Watch if this becomes a multi-week rotation or just a two-day flush.

RELATED PLAY: If you believe the HBM story, the picks-and-shovels names are AMAT and LRCX (the equipment makers building MU's new fabs) — they benefit whether MU or Hynix wins the HBM share war.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the ultimate AI tollbooth — every HBM chip MU sells goes next to an NVDA GPU, so they move together.
- AVGO (Broadcom): Custom AI silicon for hyperscalers — benefiting from the same capex wave lifting MU.

MU CONTEXT: MU has actually been LEADING the semi group in 2026 because HBM is the single tightest supply in all of AI infrastructure. A 4% down day doesn't change that — if MU starts underperforming NVDA and AVGO for two straight weeks, that's when I'd worry about the leadership baton being passed.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: $950-980 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing cracks or hyperscaler capex gets cut

Hedging: Pair with a short on a weaker memory peer or buy SOXX puts

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.